

in a *smart contract* with withdrawal rights exercisable at any time before the swap is completed. If the swap is not completed, all parties retain their custodied funds.

Symmetric key cryptography. A type of cryptography in which a common key is used to encrypt and decrypt a message.

Testnet. An identically functioning *blockchain* to a *mainnet*, whose purpose is to test software. The tokens associated with the testnet when testing Ethereum, for example, are called test ETH, which are obtained for free from a smart contract that mints the test ETH (known as a faucet).

Transparency. The ability for anyone to see the code and all transactions sent to a *smart contract*. A commonly used blockchain explorer is etherscan.io.

Utility token. A fungible token required to use some functionality of a smart contract system or that has an intrinsic value defined by its respective smart contract system. For example, a *stablecoin*, whether collateralized or algorithmic, is a utility token.

Vampirism. An exact or near-exact copy of a *DeFi* platform designed to take liquidity away from an existing platform often by offering users *direct incentives*.

Vault. A smart contract that escrows collateral and keeps track of the value of the collateral.

Vertical scaling. The centralization of all transaction processing to a single large machine, which reduces the